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## Visa Token Service FAQ

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### VISA TOKEN SERVICE

- The Visa Token Service will enable Visa Inc. financial institutions in the US and internationally to provision tokens – essentially digital accounts that can be used for purchases online and with mobile devices.
- The new service can help prevent fraud by offering financial institutions, merchants, and third party payment providers, such as digital wallet providers, a secure way to enable mobile and online payments without sharing more sensitive personal account numbers.
- Key benefits of the Visa Token Service include:
  - Tokens can be restricted for use with a specific merchant, mobile device, transaction, or category of transactions.
  - Because tokens don't carry the consumer's primary account number, there is less risk in storing tokens on mobile devices, online by ecommerce merchants, and in cloud-based mobile platforms and applications.
  - The new service can also support issuance of multiple tokens for a single primary account, each tied to a specific mobile device or service.
  - Tokens tied to lost or stolen mobile devices can be promptly reissued – without the need to change the consumer's primary account number or reissue their plastic card.
  - Tokens are based on existing ISO standards and can therefore be processed and routed by merchants, acquirers, and issuers like traditional card payments.
- As the payments industry shifts from plastic to digital, we are supporting our clients to offer consumers a safe, simple, and consistent purchasing experience, regardless of where they are and what device they are using.

**Q What is the Visa Token Service?**

A The Visa Token Service, which will be available to all clients in the US and internationally, is based on the global tokenization standard and will enable financial institutions to replace the 16-digit primary account number (PAN) with a digital token. It will allow financial institutions to provision digital accounts that can be used to process online payments and transactions initiated with mobile devices. The service will be offered to issuing institutions as an “on-behalf-of” service. The service is comprised of three turnkey parts:

**Token Management Tools**

- Service Enrollment – Enroll and configure digital credit and debit products into the token service
- Provisioning – Deliver tokens to authorized internet connected devices and mobile applications for payment
- Lifecycle Management – Suspend, resume, or delete tokens in the payment network and on devices
- Active Key Management – Access security and controls including domain restrictions
- Card Metadata Manager – Manage the card data and art presented to consumers

**Visa Token Vault**

- Stores tokens in a secure digital vault
- Links tokens to a cardholder’s PAN for payment processing

**Visa Risk Manager**

- Place fraud and risk controls on digital credit and debit products

**Q When will the service be available?**

A The Visa Token Service will be available to all Visa Inc. clients in the US and internationally where domestic transactions can be processed using VisaNet. The service is being rolled out in a phased approach and will be introduced in the US in October 2014 and available outside the US in 2015.

**Q What is Visa’s tokenization roadmap for markets outside of the United States?**

A Visa will adopt a phased approach in introducing tokenization outside of the United States in 2015. Visa will initially implement network and processing-level changes that will allow acquirers, merchants, issuers, and processors directly connected to Visa, to optionally support designated token fields and enable payment token processing. Visa will subsequently offer a token service, which will perform token issuance, token vault, tokenization, and de-tokenization during payment processing and token life-cycle management.

**Q How does the Visa Token Service work?**

A Payment tokenization is the process of replacing the 16-digit primary card account number with a unique digital token. Visa has made an enhancement to its network to enable tokenization and has created a “Token Vault” that instantly issues and manages tokens on behalf of issuers.

Here is how it works: If a cardholder decides to add their personal account number to a mobile device or digital wallet, Visa will issue a token behind the scenes. Then when the Visa account holder initiates transactions with mobile devices using their digital account number, the token, and not the primary account number, will be used to process the transaction, just like a traditional card payment.

This process is invisible to accountholders and merchants. Because tokens don’t carry the consumer’s primary account number, there is less risk in storing tokens on mobile devices, in cloud-based mobile applications, and online by ecommerce merchants. Tokens can be used more than once, can be limited for use with a specific mobile phone or tablet, or restricted for use with a specific merchant. Visa’s Token Services can also support the issuance of multiple tokens for a single primary account, each tied to a specific mobile device, environment, or service.

**Q How long does it take to implement Visa Token Service?**

A Implementation will vary by client based on the specific client requirements and systems. Please contact your Visa Account Representative for more details.

**Q How can I enroll to be a token requestor?**

A Visa continues to refine guidelines around the Visa Token Service; part of this is developing rules, guidelines, and a token requestor onboarding process to enroll new token requestors. Please contact your Visa Account Representative for more details.

**Q Will it work for all card products such as credit, debit, prepaid, among others?**

A The Visa Token Service can support the creation of digital account numbers for any Visa credit, debit, and personalized prepaid card. Commercial and non-reloadable prepaid cards are exempt from the service. Financial institutions participating in Apple Pay will determine which of their accounts will be eligible to participate in the service.

**Q What types of transactions will be available for tokenization?**

A Initially at launch, the Visa Token Service will support chip based Near Field Communications (NFC) for point of sale transactions and chip based in-app m-Commerce transactions where consumers can initiate purchases from their mobile devices using an application installed on their mobile device.

**Q What applications or devices will be available for tokenization?**

A It is our intention that over time, merchant or issuer applications on smart devices that have a secure element or are HCE enabled may be token requestors and participate in the Visa Token Service.

**Q What systems changes will be required for merchants, acquirers, and issuers to participate in this service?**

- A Visa's token service is based on the industry standard for tokenization. It is based on existing ISO standards and aligned with EMV technology. It is designed to minimize potential impacts on the global payments ecosystem. Specifically, tokens issued through the Visa service:
- Are based on an ISO 8583 message – tokens are essentially an enhanced PAN format
  - Will carry additional information as part of the authorization and clearing messages, such as the device ID used to initiate the transaction. This can improve fraud detection.
  - Are designed to be processed and routed by all participants in the payments ecosystem in the same way traditional card payments are processed today.
  - Unlike traditional card payments, tokens can be restricted in how they are used with a specific merchant, device, transaction, or category of transaction.

**Q Is the tokenization process transparent to the consumer?**

- A In most cases the tokenization process will be transparent to the consumer.

**Q What happens to the token stored in the consumer device if it is compromised? Can the consumer continue to use the same mobile device?**

- A If a token is compromised, upon a request from the wallet provider or issuer, Visa will deactivate the token to ensure that it cannot be used for fraudulent transactions. A new payment token will replace the compromised token in the device, or in the cloud, depending on the wallet provider's implementation. The consumer can continue to use the same mobile device for payments once the new payment token is stored.

**Q If the consumer loses the device with assigned tokens, whom shall they call?**

- A If a consumer device with payment tokens is lost or stolen, the issuer should be notified, similar to the process a consumer would follow if they lost a card. However, rather than re-issuing a card, the token can be revoked protecting against fraudulent use. Many device and digital wallet providers, including Apple, offer a self-service 'Find my Device' feature which, when active, allows users to suspend or delete tokens themselves for all tokens in their wallet.

**Q How will the card be rendered in the mobile device? How can an issuer reinforce the brand in the mobile device/wallet?**

- A The Visa Token Service administrative tools provide the ability to upload card art images and metadata for the PAN account ranges. The wallet provider will be provided with this information by the Visa Token Service at the time of the token provisioning request. The wallet provider will have the option of rendering the card image using the card art data in the mobile device that can reinforce the issuer's brand.

**Q What is the cost to participate in the service?**

- A The commercial framework for the new service is being developed in partnership with our clients and partners. Please contact your Visa Account Representative for more details.